



Qualification Programme Examination Panelist's Report

Module 8 – Principles of Auditing (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple-choice questions covered the principle of professional ethics, inherent risk, control activities, application of test of controls, and substantive procedures. In general, candidates' performance was satisfactory for questions relating to the principle of professional ethics. For the rest of the questions, performance was fair.

Specific Comments

Candidates showed weaknesses in the following areas:

- Inherent risk of misstatement of inventory;
- Inherent risk of misstatement of sales revenue;
- Identification of the right control activities;
- Application of test of controls procedure to specified control activities; and
- Application of substantive procedure for completeness assertion of inventory.

(II) Section B – Written Questions

General Comments

The written questions covered basic auditing concepts such as audit planning, fraudulent financial reporting, modified audit opinion, audit risk model, and components of internal controls, among others.

Candidates' performance was satisfactory on certain basic questions, such as client acceptance, benefits of audit planning, types of modified opinion, and components of audit risk model. However, the performance of candidates on the remaining questions was less than satisfactory, including preconditions for an audit engagement, communication to those charged with governance (TCWG), fraud risk factors, and essential elements on qualified opinion.



Specific Comments

Question 1(a) – 5 Marks

This question required candidates to list the matters auditors should consider prior to accepting a new client. The question was straightforward, and most candidates were able to suggest the relevant matters and scored relatively high marks.

Question 1(b) – 5 Marks

This question required candidates to list the preconditions for an audit engagement. Performance was not satisfactory. Most candidates failed to understand the preconditions of an audit.

Question 1(c) – 5 Marks

This question required candidates to suggest the benefits of audit planning. Performance was satisfactory. Most candidates were able to list three to four benefits of adequate audit planning.

Question 1(d) – 5 Marks

This question required candidates to list the important elements of the audit planning process. Performance was not satisfactory. Some candidates misunderstood the question requirements and proposed audit planning procedures.

Question 1(e) – 7 Marks

This question required candidates to list the matters to be communicated with TCWG. Performance on this question was poor. Most candidates misunderstood the question requirements and proposed irrelevant answers relating to the audit requests made to the audit client.

Question 2(a) – 4 Marks

This question required candidates to explain the overall objectives of an audit. Performance was not satisfactory. Most candidates proposed irrelevant points. Only a few candidates were able to provide the relevant objectives of an audit.

Question 2(b) – 3 Marks

This question required candidates to explain fraudulent financial reporting. This was a straightforward question, and most candidates were able to provide relevant responses.

Question 2(c) – 3 Marks

This question required candidates to suggest three fraud risk factors for fraudulent financial reporting. Most candidates were able to suggest one or two factors.



Question 2(d) – 5 Marks

This question required candidates to suggest five fraud risk factors for misappropriation of assets. Some candidates were able to suggest two or three factors.

Question 3(a) – 7 Marks

This question required candidates to list and describe in detail three types of modified opinions. Most candidates were able to list the three types of modified opinion and explain the circumstances giving rise to each of the modifications.

Question 3(b) – 4 Marks

This question required candidates to state an opinion based on the analysis on the case given. Performance was not satisfactory. Some candidates misunderstood the question requirements and suggested a benchmark relating to materiality calculation. A few candidates were able to apply the financial reporting standards in this case.

Question 3(c) – 4 Marks

This question required candidates to explain the essential elements that should be included in the basis for the opinion section of a qualified opinion. Many candidates did not read the question carefully and therefore failed to demonstrate how a modified opinion should be presented. Performance was not satisfactory.

Question 4(a) – 6 Marks

This question required candidates to explain the audit risk model. Performance on this question was satisfactory. Most candidates were able to score a high mark. A few candidates failed to demonstrate their understanding of the audit risk model.

Question 4(b) – 5 Mark

This question required candidates to list five components of internal controls. The question was straightforward. Most candidates were able to score a high mark.

Question 4(c) – 4 Marks

This question required candidates to explain the business and inherent risk relating to trade receivables. Most candidates were able to give one or two risks but failed to explain in detail.

Question 4(d) – 8 Marks

This question required candidates to suggest substantive audit procedures to audit revenue. The question was straightforward, and performance was satisfactory. Some candidates failed to state clearly what the procedures are and the purpose of the procedures, demonstrating a lack of understanding of how to carry out the audit procedures.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. Candidate performance was satisfactory for the multiple-choice questions. Performance on the written questions was less satisfactory. Some candidates demonstrated a lack of understanding and a lack of basic knowledge of auditing, thus leading to poor performance on the application of Auditing and Accounting Standards.

Candidates are advised to put adequate effort into studying the materials before taking this module exam.

Candidates are reminded to read the questions carefully when interpreting the question requirements.